

The Making of a Stockpicker

There's no such thing as a hereditary knack for picking stocks. Though many would like to blame their losses on some inbred tragic flaw, believing somehow that others are just born to invest, my own history refutes it. There was no ticker tape above my cradle, nor did I teethe on the stock pages in the precocious way that baby Pelé supposedly bounced a soccer ball. As far as I know, my father never left the pacing area to check on the price of General Motors, nor did my mother ask about the AT&T dividend between contractions.

Only in hindsight can I report that the Dow Jones industrial average was down on January 19, 1944, the day I was born, and declined further the week I was in the hospital. Though I couldn't have suspected it then, this was the earliest example of the Lynch Law at work. The Lynch Law, closely related to the Peter Principle, states: Whenever Lynch advances, the market declines. (The latest proof came in the summer of 1987, when just after the publisher and I reached an agreement to produce this book, a high point in my career, the market lost 1,000 points in two months. I'll think twice before attempting to sell the movie rights.)

Most of my relatives distrusted the stock market, and with good reason. My mother was the youngest of seven children, which meant that my aunts and uncles were old enough to have reached adulthood during the Great Depression, and to have had firsthand knowledge of the Crash of '29. Nobody was recommending stocks around our household.

The only stock purchase I ever heard about was the time my grandfather, Gene Griffin, bought Cities Service. He was a very conservative investor, and he chose Cities Service because he thought it was a water utility. When he took a trip to New York and discovered it was an oil company, he sold immediately. Cities Service went up fiftyfold after that.

Distrust of stocks was the prevailing American attitude throughout the 1950s and into the 1960s, when the market tripled and then doubled again. This period of my childhood, and not the recent 1980s, was truly the greatest bull market in history, but to hear it from my uncles, you'd have thought it was the craps game behind the pool hall. "Never get involved in the market," people warned. "It's too risky. You'll lose all your money."

Looking back on it, I realize there was less risk of losing all one's money in the